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A MERGER OF TWO companies is often called a meeting of minds. By any yardstick, it is a complex affair that involves a host of issues ranging from financial metrics, a cultural fit and, perhaps most importantly, keeping differences aside in the interest of creating a robust organisation.

50 | Much of this is true in the case of PVR Ltd and INOX Leisure Ltd, two big names in the multiplex space. They competed fiercely, although some regions were always their respective strongholds—north, south and west India for PVR, and east and central for INOX. The two men at the centre of this new entity called PVR-INOX, Ajay Bijli and Siddharth Jain, are candid when they speak of how the pandemic played havoc. Business came to a standstill and the emergence of OTT (over-the-top) did not do their cause any good. Revenue took a huge beating—PVR's revenues fell 91 per cent, and INOX's 92 per cent in FY21—and an uncertain future with a disruptive present made for a marriage of compulsion.

Together they are stronger—PVR-INOX will have 1,546 screens across 109 cities. It is a combo with substantial ability to derive significant cost and revenue synergies in addition to driving a serious bargain across all components of the multiplex business. Not surprisingly, analysts and industry trackers are enthused and the stocks of both companies, ever since the merger was

announced on March 27 (Sunday), surged to new highs. PVR closed at ₹1,883.50 on March 28, up 3 per cent from its previous close; and INOX closed 11 per cent higher at ₹522.90.

But there are challenges ahead. The proposed merger will need to focus on areas related to counter-ing OTT, identifying new revenue streams, and ensuring adequate responses to any objections of the Competition Commission of India (CCI).

PUTTING IT TOGETHER

The background of both PVR and INOX could not have been more different. Bijli set up PVR in the mid-1990s; his family owned a theatre in Delhi. Jain's family had a large business in industrial gas before setting up their first multiplex in Pune.

Till March 2020, the story for both was on track and one would have laughed off any talk of a merger. In fact, both had grown through the M&A route. INOX had bought over Satyam, Fame and Calcutta Cine, while PVR picked up Cinemax Cinemas, DT Cinemas and SPI Cinemas. Then the pandemic came and the industry saw a reversal of fortunes. Apart from movie theatres being totally closed for long periods of time, OTT started rising phenomenally. At an affordable price tag on OTT (you can still get started for as little as ₹50 per month), a viewer could enjoy the experience of a movie in their living room. Jain points to how there was a change in habit dur-

MIGHT OF MERGER

THE MERGED ENTITY WILL BECOME THE LARGEST FILM EXHIBITION COMPANY IN INDIA, OPERATING 1,546 SCREENS IN 109 CITIES

IT WOULD CONTRIBUTE TO 40-45% OF OVERALL MULTIPLEX REVENUES AND HOLD 16% MARKET SHARE IN TERMS OF SCREEN COUNT

THE NEW ENTITY PLANS TO OPEN 200-220 SCREENS PER YEAR, ACCELERATING GROWTH IN TIER II AND III CITIES AND TOWNS